

*Cyber world
Leader*



한국통신
Korea Telecom

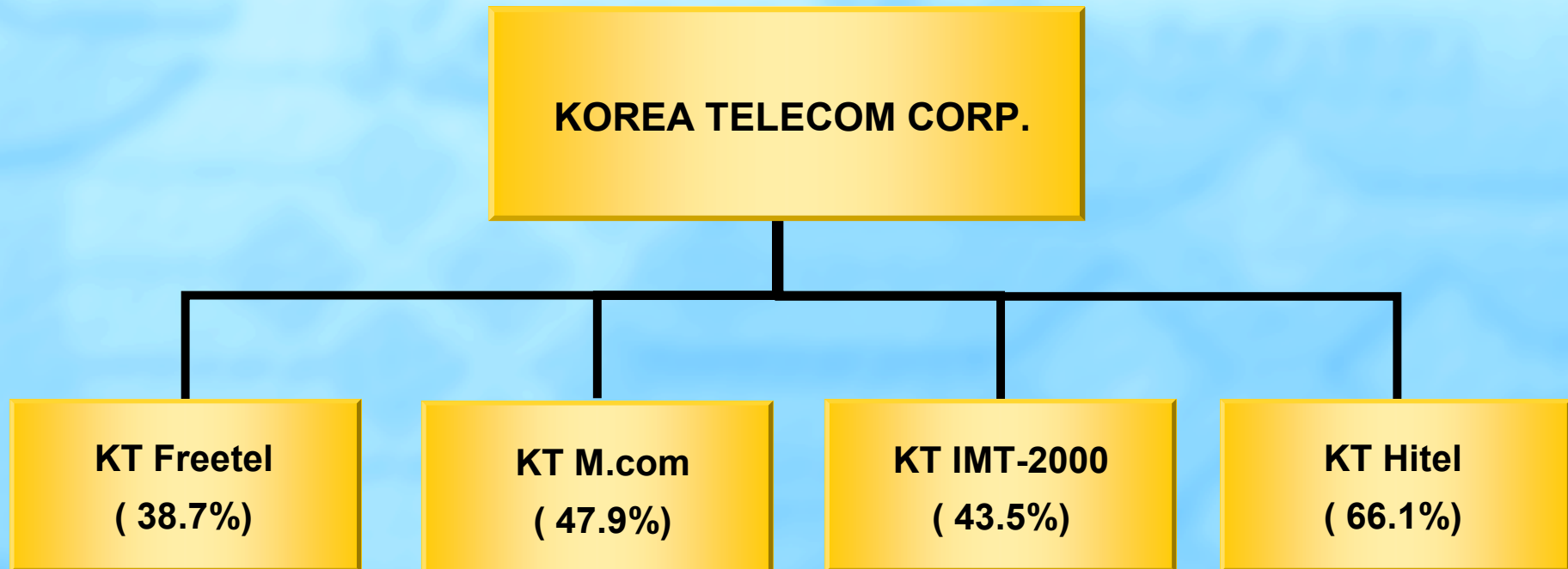
November 2000



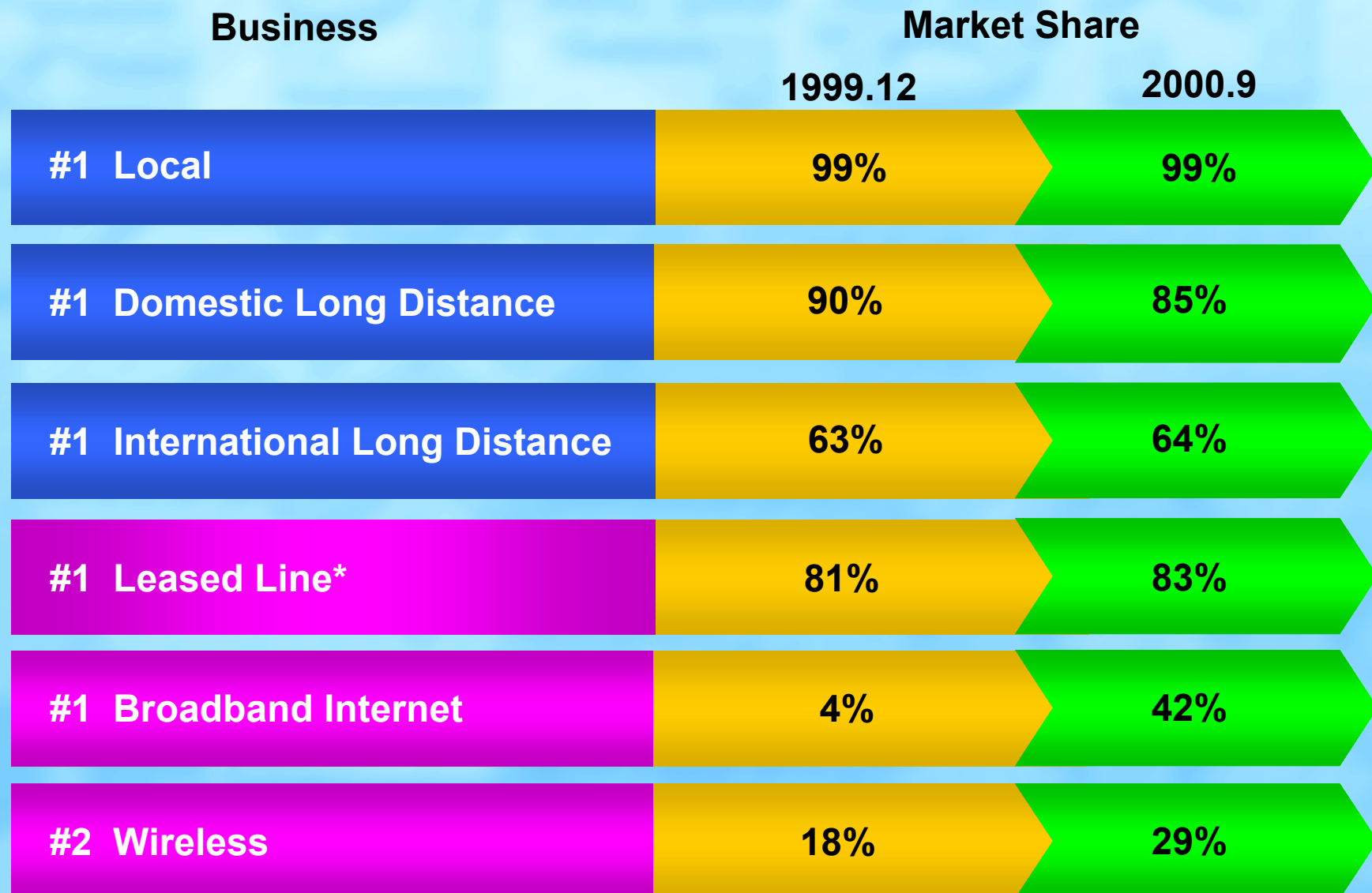
Content

- Dominance in the Market
- Leader in the Broadband Market
- Strengthening Wireless Business
- Leading Position in 3G Business
- Investment Highlights

Company at a Glance: KT Group Structure

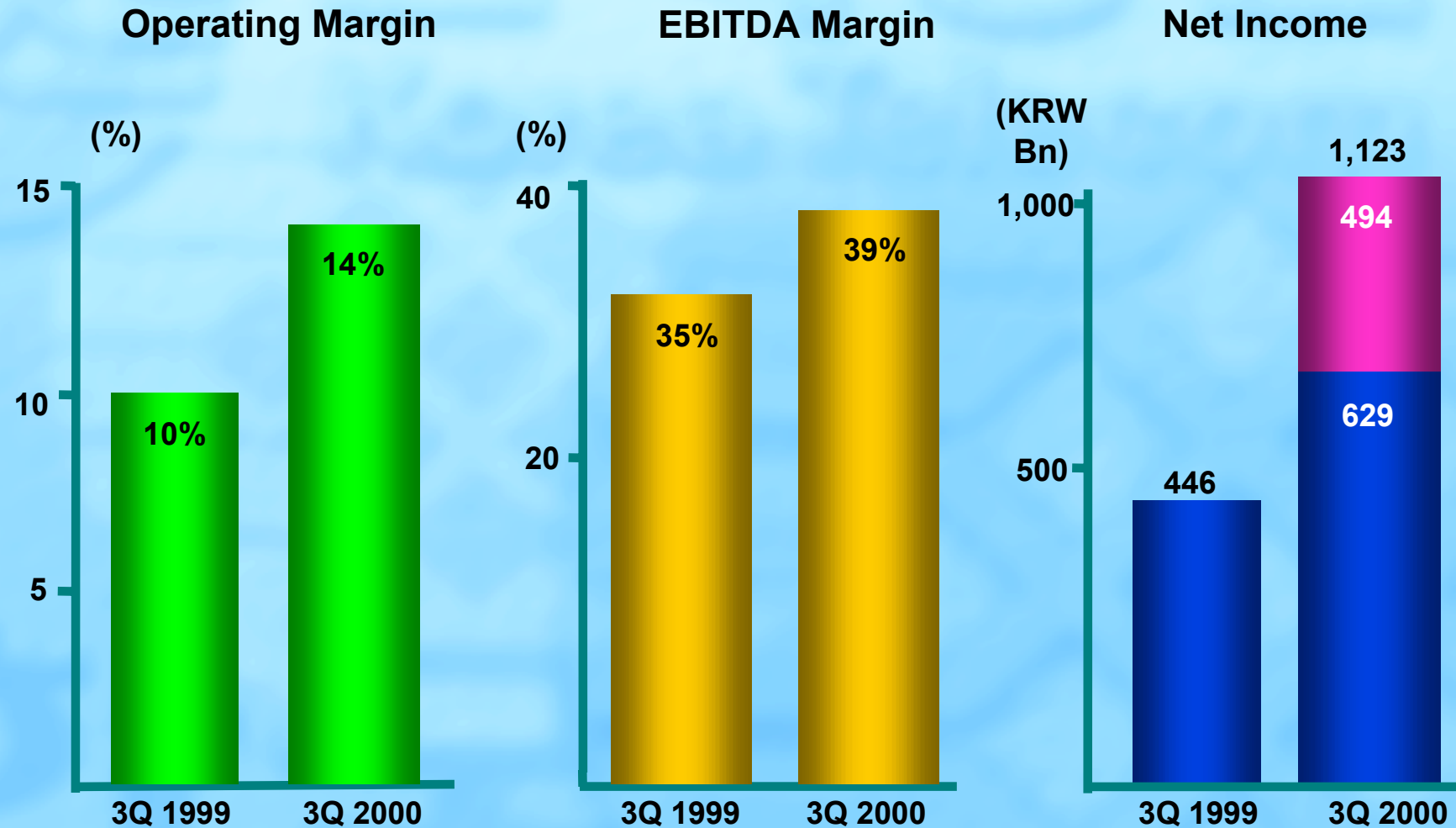


Dominant Market Position



* Domestic long distance

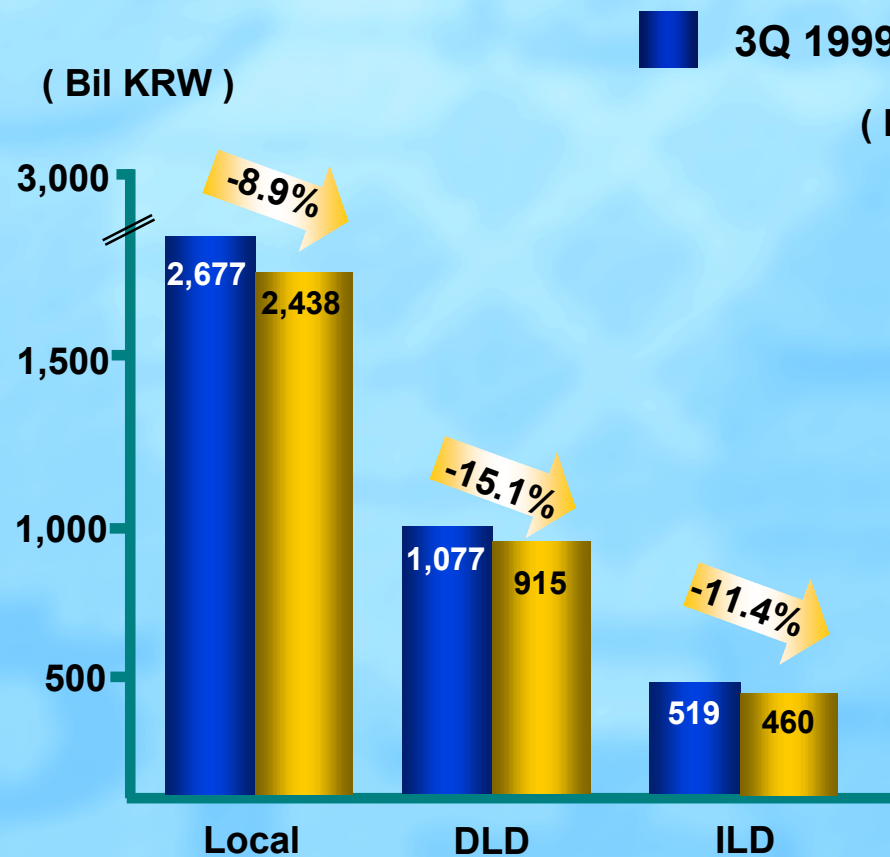
Improving Profitability



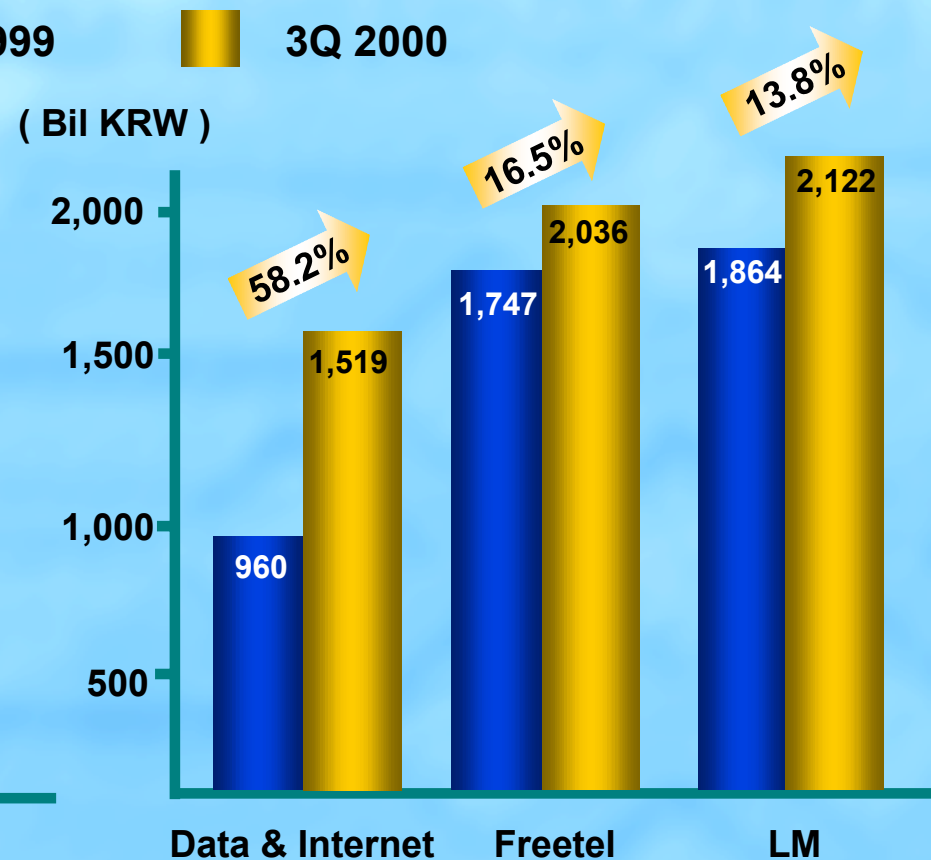
Note: Figures are cumulative

Growth in Internet and Wireless Business Exceeds Decline in Fixed Line

Fixed Line Business



New Growth Business



Note: Data & Internet also includes Dial-Up

Changes in Regulatory Environment

**Tax
Regime**

**Change from
Phone Tax to VAT**



- **Effective 2001. 9**
- **Tax Reimbursement**
 - Year 2001 : KRW 100Bn
 - Year 2002~ : KRW 300Bn

**Foreign
Ownership
Limit**

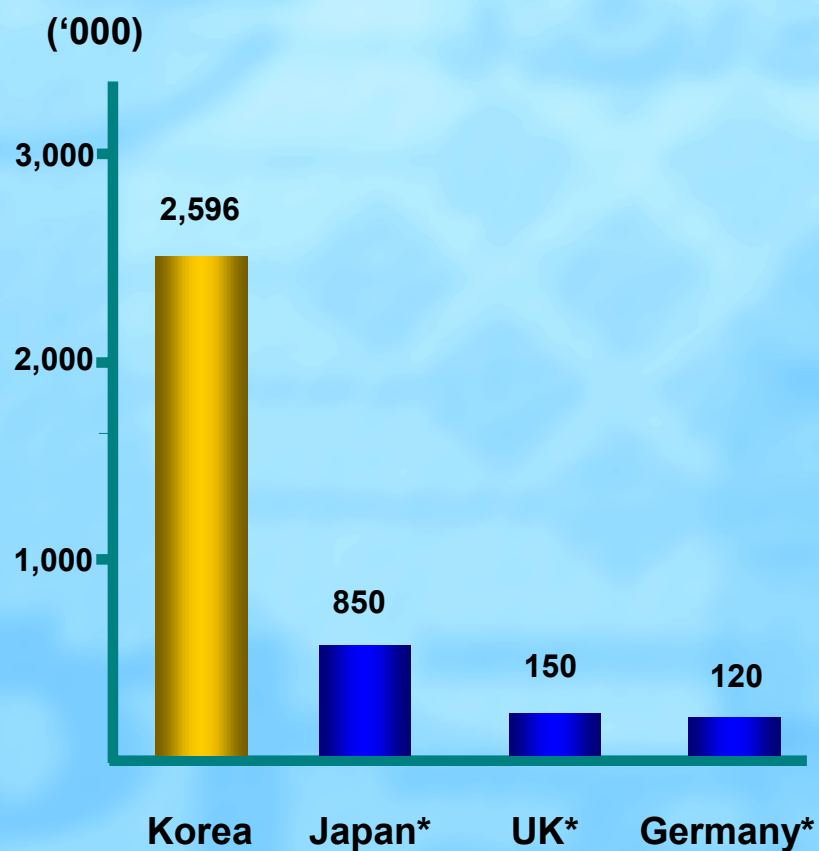
**Increase from
33% to 49%**



- **Facilitating privatization**
- **Increasing free float for foreign investment**

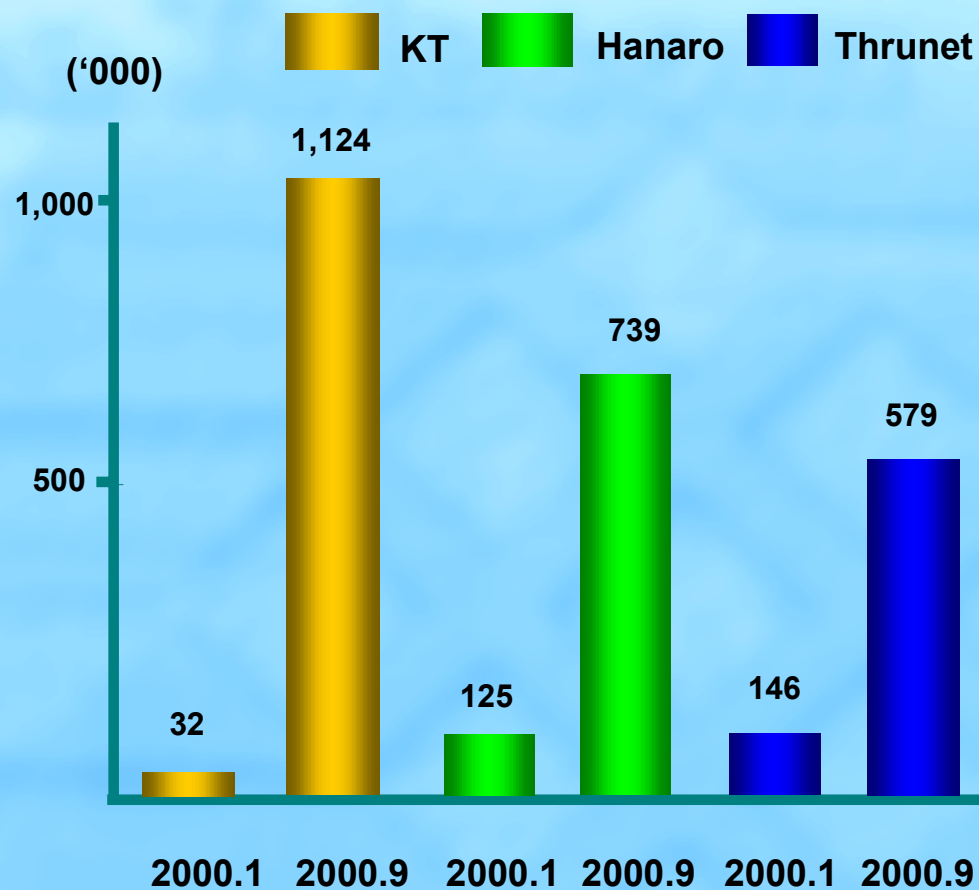
Broadband Internet Boom in Korea

Broadband Subscribers



* Estimation as of Sept.2000

KT vs. Competitors

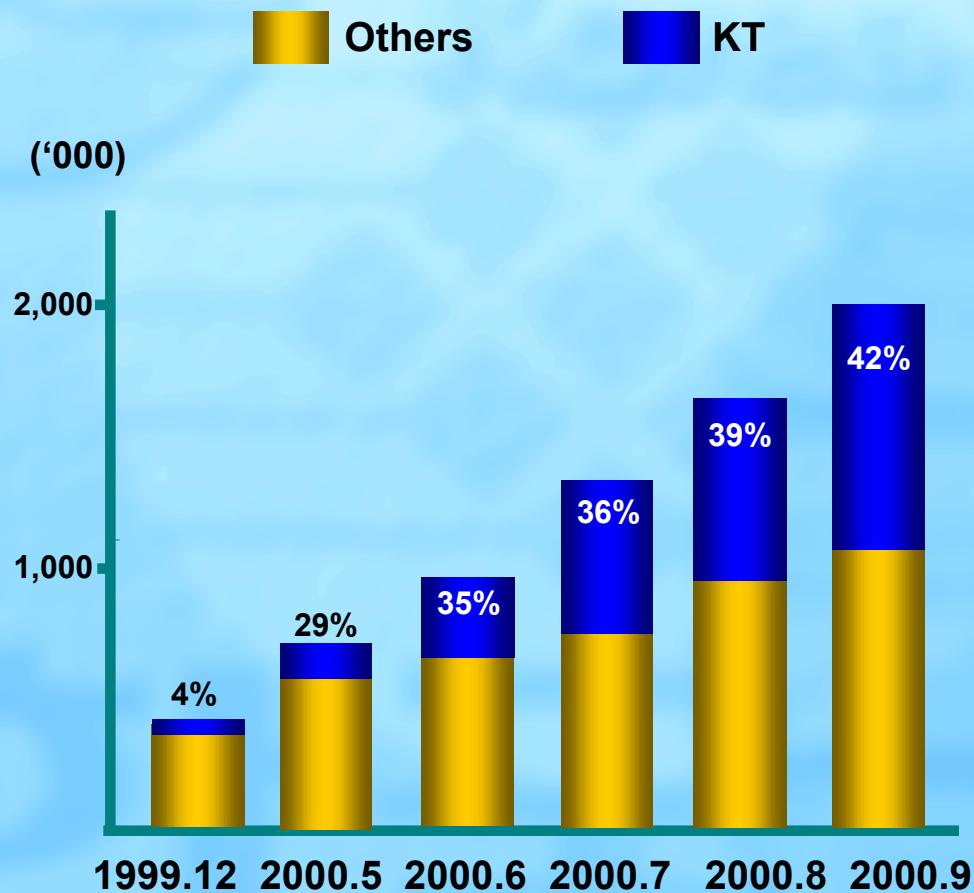


KT's Competitive Advantages in Broadband

- **ADSL is available to 92% of the population**
- **KT utilizing existing lines, while others must install**
- **Extensive fiber-optic network (84,751Km)**
- **Strong nationwide marketing force with local branches**
- **Convenient one billing service with 5% discount**

Leader of ADSL Revolution

Broadband Market Share



KT Monthly Subscriber Trend

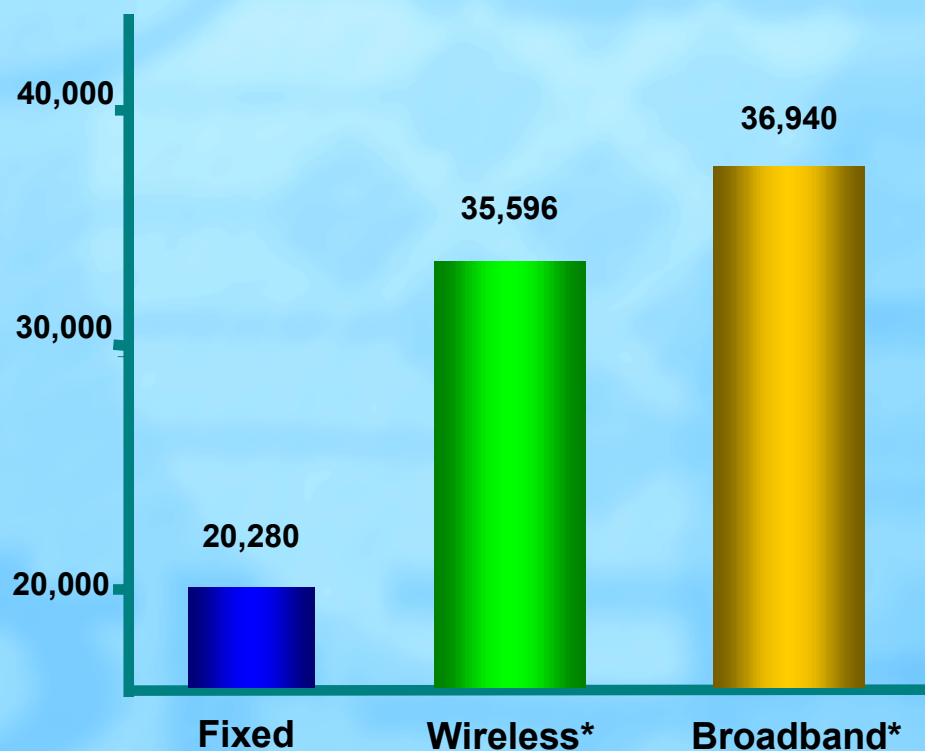
('000)	Net Adds	Cumulative
1999.12	12	12
2000.4	85	182
2000.5	146	329
2000.6	217	546
2000.7	126	672
2000.8	200	871
2000.9	253	1,124

Driving Force of Future Cash Flow

Broadband ARPU

(KRW)

(As of Aug, 2000)



* Excluding initiation fee

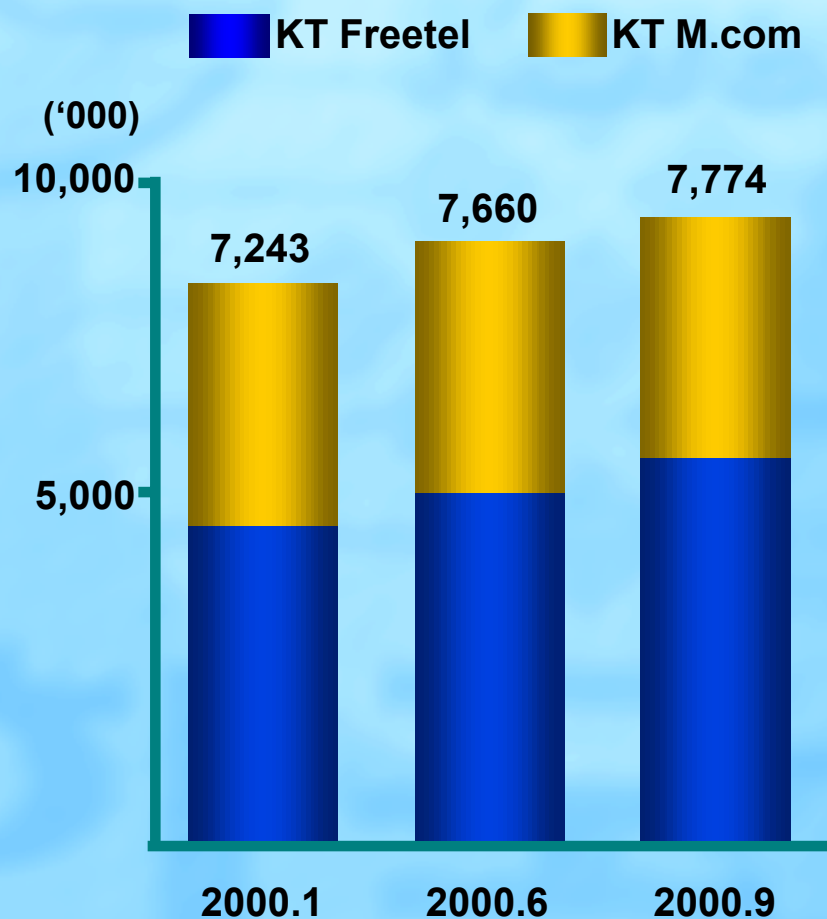
Initial Capex Recovery

(Per ADSL Subscriber, KRW)

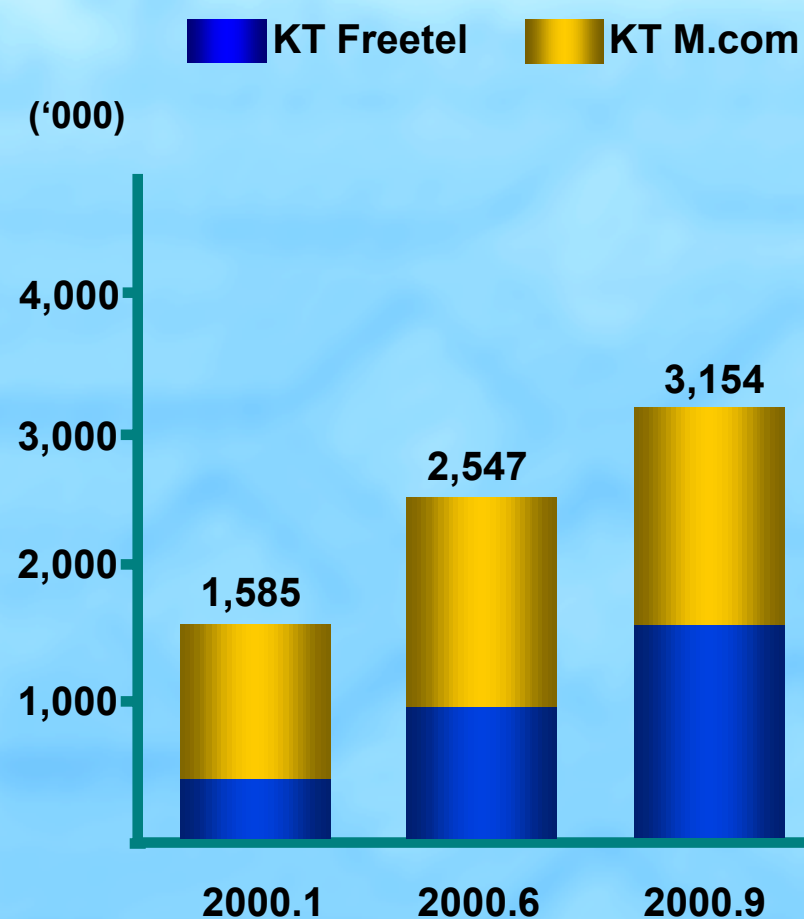
Initial Capex	550,000
Subscriber Modem	
DSLAM	
NAS	
15 Months of Cash Flow	584,100
15 months ARPU	554,100
Installation Fee	30,000
Net Cash Flow	34,100

Wireless Voice & Data

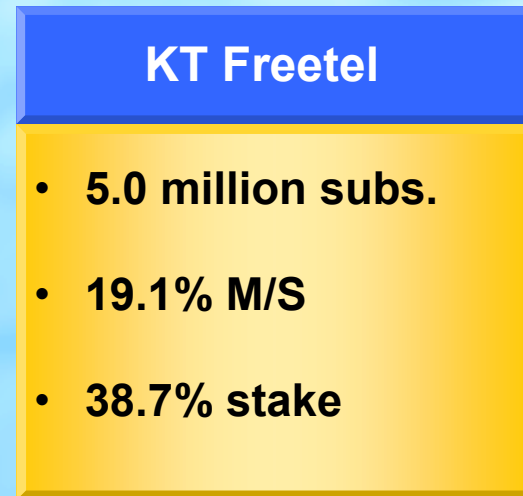
Wireless Subscribers



Wireless Data Subscribers



Merging Two Wireless Subsidiaries

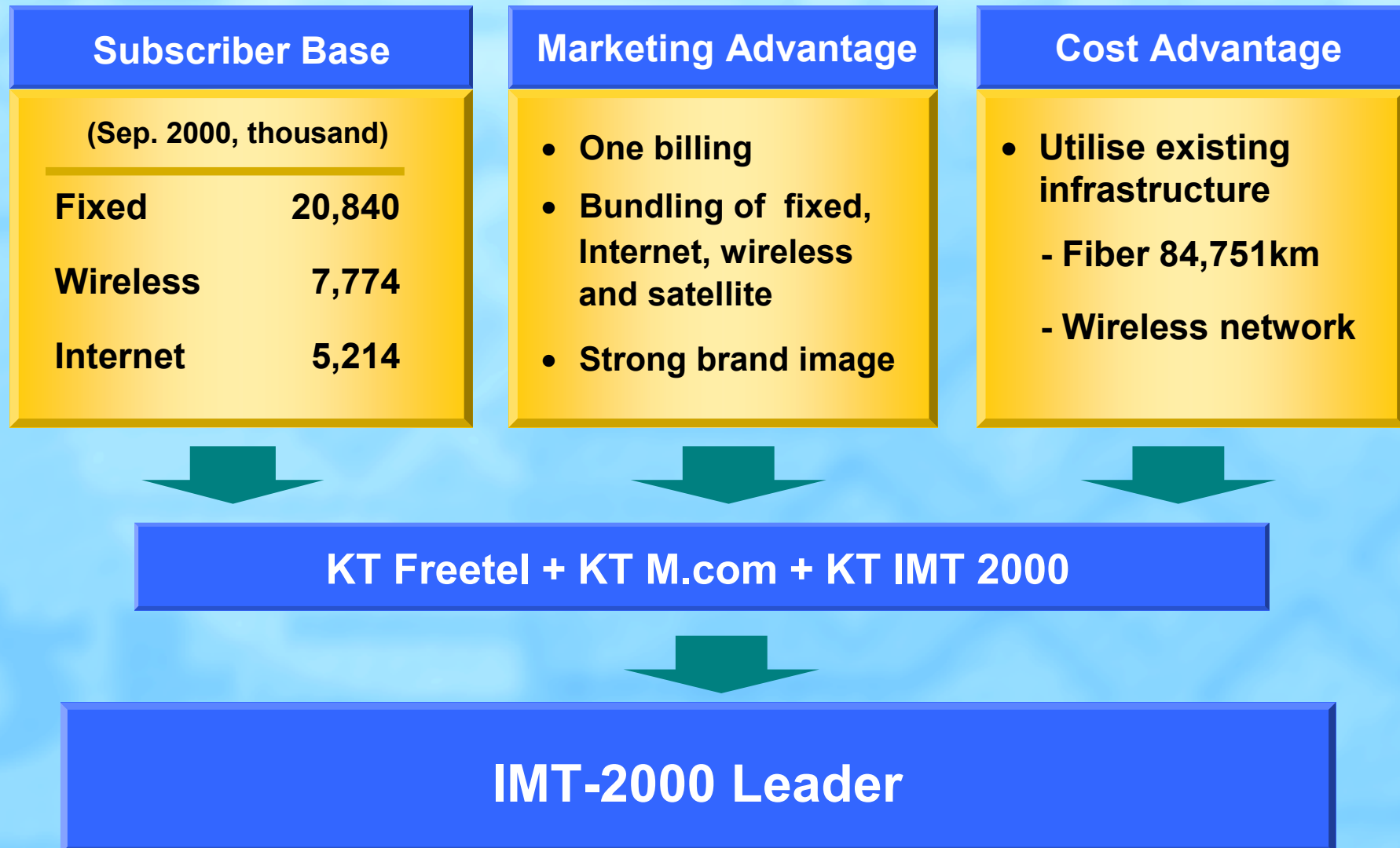


Further Strengthening in Wireless Business

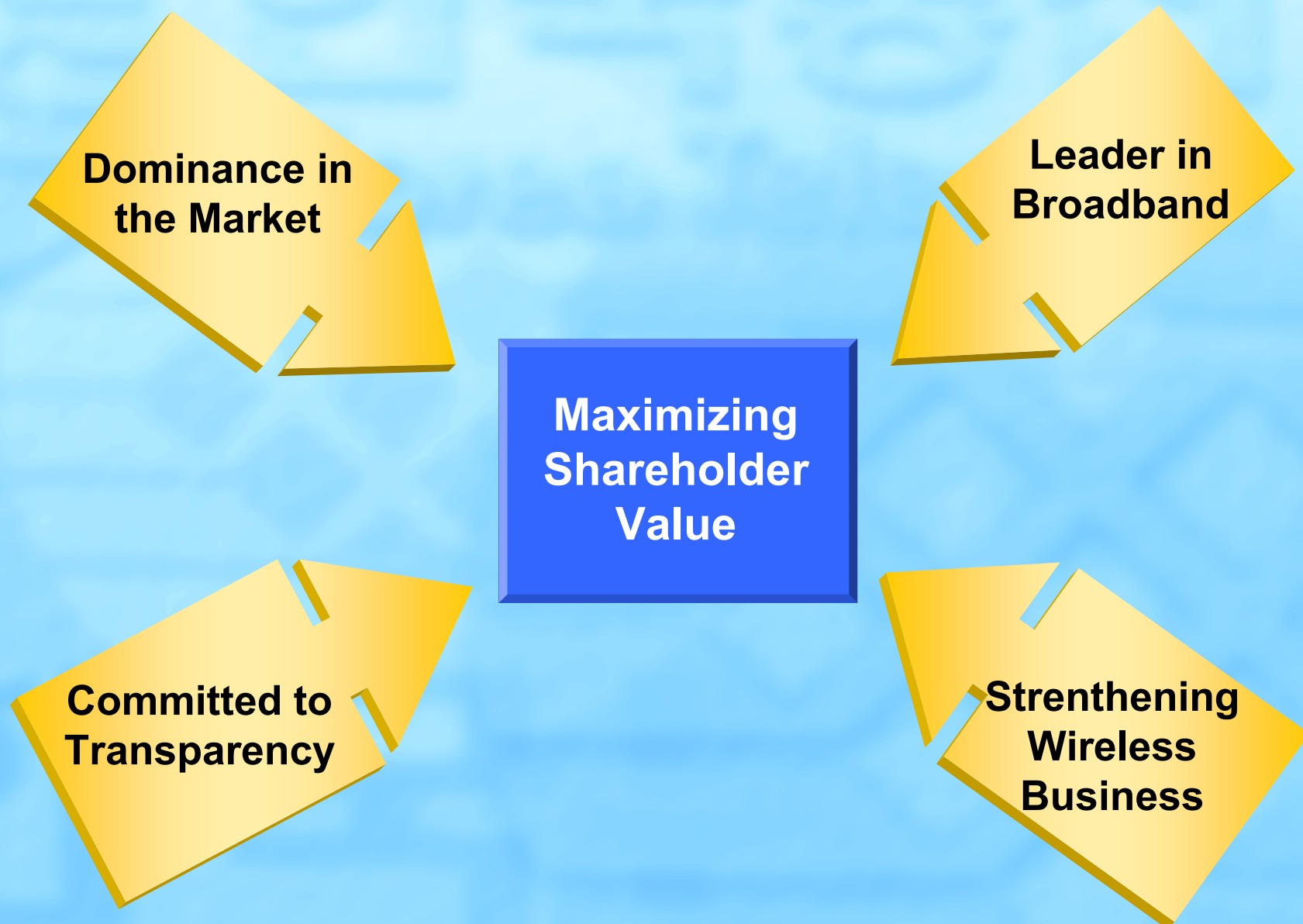


- **KT Applied for W-CDMA Technology**
 - 80% of global subscribers expected to be W-CDMA
 - Handsets and contents likely to develop faster
 - Better strategic investment potential
- **3G Consortium Structure**
 - Consortium structure ensures minimal dilution for KT
- **Lower Financial Burden**
 - License fee and Capex will be shared

Creating Optimal Integrated 3G Business Structure



Investment Highlights



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Thank you